Form PF recently was revised to include new current reporting requirements (though the effective date has not arrived) requiring large hedge fund advisers to qualifying hedge funds (*i.e.*, hedge funds with a net asset value of at least $500 million) to file a current report with the Commission when their funds experience certain stress events, several of which may affect the fund's performance.[1181] However, Form PF reporting, both in its regularly scheduled reporting and in its current reporting, often only requires reporting on the basis of how advisers report information to investors. For example, Form PF Section 1A, Item C, Question 17 requires reporting of gross performance and performance net of management fees, incentive fees, and allocations "as reported to current and prospective investors (or, if calculated for other purposes but not reported to investors, as so calculated)" and requires reporting "only if such results are calculated for the reporting fund (whether for purposes of reporting to current or prospective investors or otherwise)."[1182] Similarly, the events in the current reporting framework that rely on performance measurements are based on the fund's "reporting fund aggregate calculated value," which only requires valuation of positions "with the most recent price or value applied to the position for purposes of managing the investment portfolio" and need not be subject to fair valuation procedures.[1183]

Within this framework, advisers have exercised discretion in responding to the needs of private fund investors for periodic statements regarding fees, expenses, and performance or similar information on their current investments, and we discuss this variety in practices throughout this section. Broadly, current investors often use this information in determining

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1181 Form PF Release, *supra* footnote 564. Advisers to private equity funds must file new quarterly reports on the occurrence of certain events, in particular the execution of an adviser-led secondary transaction. *See infra* sections VI.C.4, VI.D.6.

1182 Form PF Release, *supra* footnote 564.

1183 *Id*.

whether to invest in subsequent funds and investment opportunities with the same adviser, or to pursue alternative investment opportunities. When fund advisers raise multiple funds sequentially, they often consider current investors to also be prospective investors in their subsequent funds, and so may make disclosures to motivate future capital commitments. The format, scope and reporting intervals of these disclosures vary across advisers and private funds. Some disclosures provide limited information while others are more detailed and complex. A private fund adviser may agree, contractually or otherwise, to provide disclosures to a fund investor, and on the details of these disclosures, at the time of the investment or subsequently. A private fund adviser also may provide such information in the absence of an agreement. The flexibility in these options has led to the development of diverse approaches to the disclosure of fees, expenses, and performance, resulting in informational asymmetries among investors in the same private fund.[1184]

The private equity investor industry group ILPA, observing the variation in reporting practices across funds, has suggested the use of a standardized template for this purpose.[1185] In its comment letter, ILPA cited that in 2021, 59% of private equity LPs in a survey reported receiving the template more than half the time, indicating that LPs must continue to use their negotiating resources to receive the template, and many private equity investors do not receive it at all.[1186] Ongoing experience demonstrates that advisers do not provide the same transparency to all investors: In a more recent survey, 56% of private equity investor respondents indicated

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[1184] *See, e.g.*, Professor Clayton Public Investors Article, *supra* footnote 12.

[1185] *See, e.g.*, *Reporting Template*, ILPA, *available at* https://ilpa.org/reporting-template/. ILPA is a trade group for investors in private funds.

[1186] ILPA Comment Letter I; *see also* ILPA Comment Letter II; The Future of Private Equity Regulation, *supra* footnote 983, at 17.

that information transparency requests granted to one investor are generally not granted to all investors, and 75% find that an adviser's agreement to report fees and expenses consistent with the ILPA reporting template was made through the side letter, or informally, and not reflected in the fund documents presented to all investors.[1187]

Investors may, as a result, find it difficult to assess and compare alternative fund investments, which can make it harder to allocate capital among competing fund investments or among private funds and other potential investments. In one industry survey, 55% of respondents either disagreed or strongly disagreed that the reporting provided by advisers across fees, expenses, and performance provides the needed level of transparency.[1188] Limitations in required disclosures by advisers may therefore result in mismatches between investor choices of private funds and their preferences over private fund terms, investment strategies, and investment outcomes.

While a variety of practices are used, as the market for private fund investing has grown, some patterns have emerged. We understand that most private fund advisers currently provide current investors with quarterly reporting, and many private fund advisers contractually agree to provide fee, expense, and performance reporting.[1189] Further, advisers typically provide information to existing investors about private fund fees and expenses in periodic financial statements, schedules, and other reports under the terms of the fund documents.[1190]

1187 *Id*.; ILPA Private Fund Advisers Data Packet, *supra* footnote 983.

1188 ILPA Comment Letter II; The Future of Private Equity Regulation, *supra* footnote 983, at 16-17; ILPA Private Fund Advisers Data Packet, *supra* footnote 983, at 23.

1189 *See supra* sections II.B.1, II.B.2.

1190 *Id*.

However, reports that are provided to investors may report only aggregated expenses, or may not provide detailed information about the calculation and implementation of any negotiated rebates, credits, or offsets.[1191] Investors may use the information that they receive about their fund investments to monitor the expenses and performance from those investments. Their ability to measure and assess the impact of fees and expenses on their investment returns depends on whether, and to what extent, they are able to receive detailed disclosures regarding those fees and expenses and regarding fund performance. Some investors currently do not receive such detailed disclosures, and this reduces their ability to monitor the performance of their existing fund investment or to compare it with other prospective investments.

In other cases, adviser reliance on exemptions from specific regulatory burdens for other regulators can lead advisers to make certain quarterly disclosures. For example, while we believe that many advisers to hedge funds subject to the jurisdiction of the U.S. Commodity Futures Trading Commission ("CFTC") rely on an exemption provided in CFTC Regulation § 4.13 from the requirement to register with CFTC as a "commodity pool operator," some may rely on other CFTC exemptions, exclusions or relief. Specifically, we believe that some advisers registered with the CFTC may operate with respect to a fund in reliance on CFTC Regulation § 4.7, which provides certain disclosure, recordkeeping and reporting relief and to the extent that the adviser does so, the adviser would be required to, no less frequently than quarterly, prepare and distribute to pool participants statements that present, among other things, the net asset value of the exempt pool and the change in net asset value from the end of the previous reporting period.

[1191] *See supra* section II.B.

In addition, information about advisers' fees and about expenses is often included in advisers' marketing documents, or included in the fund documents, yet the information may not be standardized or uniform. Many advisers to private equity funds and other illiquid funds provide prospective investors with access to a virtual data room for the fund, containing the fund's offering documents (including categories of fees and expenses that may be charged), as well as the adviser's brochure and other ancillary items, such as case studies.[1192] These advisers meet the contractual and other needs of investors for updated information by updating the documents in the data room. Many advisers to funds that would be considered liquid funds under the rule, such as hedge funds, tend not to use data rooms. They instead take the approach of sending email or using other methods to convey updated information to investors. For instance, prior to closing on a prospective investor's investment, some advisers send out preclosing email messages containing updated versions of these and other documents. Prospective investors at the start of the life of a fund, or at or before the time of their investment, may use this information in conducting due diligence, in deciding whether to seek to negotiate the terms of investment, and ultimately in deciding whether to invest in the adviser's fund.

The adviser's and related persons' rights to compensation, which are set forth in fund documents, vary across fund types and advisers and can be difficult to quantify at the time of the initial investment. For example, advisers of private equity funds generally receive a management fee (compensating the adviser for managing the affairs of the fund) and

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[1192] To the extent that a private fund's securities are offered pursuant to 17 CFR 230.500 through 230.508 (Regulation D of the Securities Act) and such offering is made to an investor who is not an "accredited investor" as defined therein, that investor must be provided with disclosure documents that generally contain the same type of information required to be provided in offerings under Regulation A of the Securities Act, as well as certain financial statement information. *See* 17 CFR 230.502(b). However, private funds generally do not offer interests in funds to non-accredited investors.

performance-based compensation (incentivizing advisers to maximize the fund's profits).[1193] Performance-based compensation arrangements in private equity funds typically require that investors recoup capital contributions plus a minimum annual return (called the "hurdle rate" or "preferred return"), but these arrangements can vary according to the waterfall arrangement used, meaning that distribution entitlements between the adviser (or its related persons) and the private fund investors can depend on whether the proceeds are distributed on a whole-fund (known as European-style) basis or a deal-by-deal (known as American-style) basis.[1194] In the whole-fund (European) case, the fund typically allocates all investment proceeds to the investors until they recoup 100% of their capital contributions attributable to both realized and unrealized investments plus their preferred return, at which point fund advisers typically begin to receive performance-based compensation.[1195] In the deal-by-deal (American) case (or modified versions thereof), it is common for investment proceeds from each portfolio investment to be allocated 100% to investors until investors recoup their capital contributions attributable to that specific investment, any losses from other realized investments, and their applicable preferred return, and then fund advisers can begin to receive performance-based compensation from that investment.[1196] Under the deal-by-deal waterfall, advisers can potentially receive performance-based compensation earlier in the life of the fund, as successful investments can deliver advisers

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1193 *See supra* section II.B.1.

1194 *See, e.g.*, David Snow, *Private Equity: A Brief Overview*, PEI Media (2007), *available at* https://www.law.du.edu/documents/registrar/adv-assign/Yoost_PrivateEquity%20Seminar_PEI%20Media's%20Private%20Equity%20-%20A%20Brief%20Overview_318.pdf.

1195 *Id.*

1196 *Id.*

performance-based compensation before investors have recouped their entire capital contributions to the fund.[1197]

Management fee compensation figures and performance-based compensation figures are not widely disclosed or reported publicly,[1198] but the sizes of certain of these fees have been estimated in industry and academic literature. For example, one study estimated that from 2006-2015, performance-based compensation alone for private equity funds averaged $23 billion per year.[1199] Private fund fees increase as assets under management increase, and the private fund industry has grown since 2015, and as a result private equity management fees and performance-based compensation fees may together currently total over $100 billion dollars in fees per year.[1200] Private equity represents $4.2 trillion of the $11.5 trillion dollars in net assets under

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1197 Waterfalls (especially deal-by-deal waterfalls) typically have clawback arrangements to ensure that advisers do not retain carried interest unless investors recoup their entire capital contributions on the whole fund, plus a preferred return. The result is that total distributions to investors and advisers under the two waterfalls can be equal (but may not always be), conditional on correct implementation of clawback provisions. In that case, the key difference in the two arrangements is that deal-by-deal waterfalls result in fund advisers potentially receiving their performance-based compensation faster. However, some deal-by-deal waterfalls may also require fund advisers to escrow their performance-based compensation until investors receive their total capital contributions to the fund plus their preferred return on the total capital contributions. These escrow policies can help secure funds that may need to be available in the event of a clawback. *Id*.

1198 Ludovic Phalipoou, *An Inconvenient Fact: Private Equity Returns & The Billionaire Factory*, Univ. of Oxford (Said Bus. Sch. Working Paper, June 10, 2020), *available at* https://ssrn.com/abstract=3623820.

1199 *Id.; see also* SEC, DIV. OF INVESTMENT MGMT: ANALYTICS OFFICE, PRIVATE FUNDS STATISTICS REPORT: FOURTH CALENDAR QUARTER 2015, at 5 (July 22, 2016), *available at* https://www.sec.gov/divisions/investment/private-funds-statistics/private-funds-statistics-2015-q4.pdf.

1200 Private equity management fees are currently estimated to typically be 1.76% and performance-based compensation is currently estimated to typically be 20.3% of private equity fund profits. *See, e.g.*, Ashley DeLuce & Pete Keliuotis, *How to Navigate Private Equity Fees and Terms*, CALLAN'S RSCH. CAFÉ (Oct. 7, 2020), *available* at https://www.callan.com/uploads/2020/12/2841fa9a3ea9dd4dddf6f4daefe1cec4/callan-institute-private-equity-fees-terms-study-webinar.pdf. Private equity net assets under management as of the fourth quarter of 2020 were approximately $4.2 trillion. SEC, DIV. OF INVESTMENT MGMT: ANALYTICS OFFICE, PRIVATE FUNDS STATISTICS REPORT: FOURTH CALENDAR QUARTER 2020, at 5 (Aug. 4, 2021), *available at* https://www.sec.gov/divisions/investment/private-funds-statistics/private-funds-statistics-2020-q4.pdf. Total fees may be estimated by multiplying management fee percentages by net assets under management, and by multiplying performance-based compensation percentages by net assets under management and again by an estimate of private equity annual returns, which may conservatively be assumed to be approximately 10%. *See, e.g.*, Michael Cembalest, *Food Fight: An Update on Private Equity Performance vs. Public Equity Markets*, J.P. Morgan Asset and Wealth Mgmt. (June 28, 2021),

management by private funds,[1201] and so total fees across private funds may be over $200 billion dollars in fees per year.[1202]

In addition, advisers or their related persons may receive a monitoring fee for consulting services targeted to a specific asset or company in the fund portfolio.[1203] Whether they ultimately retain the monitoring fee depends, in part, on whether the fund's governing documents require the adviser to offset portfolio investment compensation against other revenue streams or otherwise provide a rebate to the fund (and so indirectly to the fund investors).[1204] There can be substantial variation in the fees private fund advisers charge for similar services and

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available at https://privatebank.jpmorgan.com/content/dam/jpm-wm-aem/global/pb/en/insights/eye-on-the-market/private-equity-food-fight.pdf.

1201 *See* Form PF Statistics Report, *supra* footnote 12.

1202 For example, hedge fund management fees are currently estimated to typically be 1.4% per year and performance-based compensation is currently estimated to typically be 16.4% of hedge fund profits, approximately consistent with private equity fees. *See, e.g.*, Leslie Picker, *Two and Twenty is Long Dead: Hedge Fund Fees Fall Further Below Onetime Industry Standard*, CNBC (June 28, 2021), *available at* https://www.cnbc.com/2021/06/28/two-and-twenty-is-long-dead-hedge-fund-fees-fall-further-below-one-time-industry-standard.html (citing HRF Microstructure Hedge Fund Industry Report Year End 2020). Hedge funds, as of the fourth quarter of 2020, represented another approximately $4.7 trillion in net assets under management. *See* Form PF Statistics Report, *supra* footnote 12.

1203 *See, e.g.*, Ludovic Phalippou, Christian Rauch & Marc Umber, *Private Equity Portfolio Company Fees*, 129 J. FIN. ECON. 3, 559-585 (2018).

1204 *See supra* section II.B.1. There may be certain economic arrangements where only certain investors to the fund receive credits from rebates.

performances.[1205] Ultimately, the fund (and indirectly the investors) bears the costs relating to the operation of the fund and its portfolio investments.[1206]

Regarding performance disclosure, advisers typically provide information about fund performance to investors through the account statements, transaction reports, and other reports. Some advisers, primarily private equity fund advisers, also disclose information about past performance of their funds in the private placement memoranda that they provide to prospective investors.

1205 *See, e.g.*, Juliane Begenau & Emil Siriwardane, *How Do Private Equity Fees Vary Across Public Pensions?* (Harvard Bus. Sch. Working Paper, Jan. 2020, Revised Feb. 2021) (concluding that a sample of public pension funds investing in a sample of private equity funds would have received an average of an additional $8.50 per $100 invested had they received the best observed fees in the sample); Tarun Ramadorai & Michael Streatfield, *Money for Nothing? Understanding Variation in Reported Hedge Fund Fees* (Paris, Dec. 2012 Finance Meeting, EUROFIDAI-AFFI Paper, Mar. 28, 2011), *available at* https://ssrn.com/abstract=1798628 (retrieved from SSRN Elsevier database) (finding that in a sample of hedge fund advisers, management fees ranging from less than 0.5% to over 2% and finding incentive fees ranging from less than 5% to over 20%, with no detectible difference in performance by funds with different management fees and only modest evidence of higher incentive fees yielding higher returns). One commenter states that "[t]he Commission is concerned" about this substantial variation in fees, and argues that we have overlooked that there are economic reasons for different fees or prices charged to investors. *See* AIC Comment Letter I, Appendix 1. We do not believe this argument correctly characterizes the Proposing Release or the final rules. While we agree that there are economic reasons for different fees or prices charged, in particular that charging different fees may be a plausible substitute for other more harmful types of preferential treatment, we believe that this substantial variation in fees across funds means that achieving appropriate transparency is crucial for investors. *See* Proposing Release, *supra* footnote 3, at 204; *see also supra* section VI.B, *infra* sections VI.D.2, VI.D.4. Another commenter stated that "[t]o support [their] assertion with respect to hedge funds, [the Commission] cites a lone study . . . . However, a meaningful assessment of price competition . . . cannot be based on unsubstantiated assertions and a lone study." CCMR Comment Letter IV. We believe this mischaracterizes the Proposing Release. The additional statistics cited by this commenter speak to average alpha, average returns, and average risk-adjusted returns of hedge funds, among other average statistics. The Proposing Release, by contrast, discusses substantial variation across advisers in fees charged and in their performance. Additional literature cited in the commenter's analysis states "'[i]n contrast to the perception of a common 2/20 fee structure,' there are 'considerable cross-sectional and time series variations in hedge fund fees,'" which we also believe supports the Proposing Release's discussion. *Id.*, *see also* Proposing Release, *supra* footnote 3, at 196.

1206 *See supra* section II.B.1.

Many standardized industry methods have emerged that private funds rely on to report returns and performance.[1207] However, each of these standardized industry methods has a variety of benefits and drawbacks, including differences in the information they are able to capture and their susceptibility to manipulation by fund advisers.

For private equity and other funds that would be determined to be illiquid under the final rules, standardized industry methods for measuring performance must contend with the complexity of the timing of potentially illiquid investments and must also reflect the adviser's discretion in the timing of distributing proceeds to investors.

One approach that has emerged for computing returns for private equity and other funds that would be determined to be illiquid funds is the internal rate of return ("IRR").[1208] As discussed above, an important benefit of IRR that drives its use is that IRR can reflect the timing of cash flows more accurately than other performance measures.[1209] All else equal, a fund that delivers returns to its investors faster will have a higher IRR.

However, current use of IRR to measure returns has a number of drawbacks, including an upward bias in the IRR that comes from a fund's use of leverage, assumptions about the reinvestment of proceeds, and a large effect on measured IRR from cash flows that occur early in the life of the pool. For example, as discussed above, some private equity funds borrow extensively at the fund level.[1210] This can cause IRRs to be biased upwards. Since IRRs are based in part on the length of time between the fund calling up investor capital and the fund

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1207 As discussed above, certain factors are currently used for determining how certain types of private funds should report performance under U.S. GAAP. *See supra* section II.B.2.

1208 *See supra* section II.B.2.b).

1209 *Id*.

1210 *Id*.